5th Pillar
Family Takaful Limited
آئیے، ساتھ چلیں

FUND MANAGER REPORT

March | 2025

MARKET REVIEW

Stock Market Review

During the month of March 2025, the KSE-100 index increased by 4,555 points (up 4%) to close at 117,807 points. The average daily volume of the market stood at 365 mn shares, down by 29% on a MoM basis. Oil & Gas Exploration Companies, Oil & Gas Marketing Companies and Banks were the major positive contributing sectors to the index performance during the month.

The market gained momentum throughout the month, reaching an intraday all-time high of 119,422 points. Key drivers behind this strong performance included positive progress on resolving the energy sector's circular debt, a favorable outcome from the IMF's first review, and the approval of a new 28-month arrangement under the Resilience and Sustainability Facility (RSF), amounting to approximately USD 1.3 billion.

Foreigners were net seller with net selling aggregating USD 12 mn during the month while Mutual Funds and Banks were major buyers with net buying aggregating USD 21 mn and USD 10 mn respectively. The oil prices increased by 1% during the month with Brent closing at USD 73.91 per barrel.

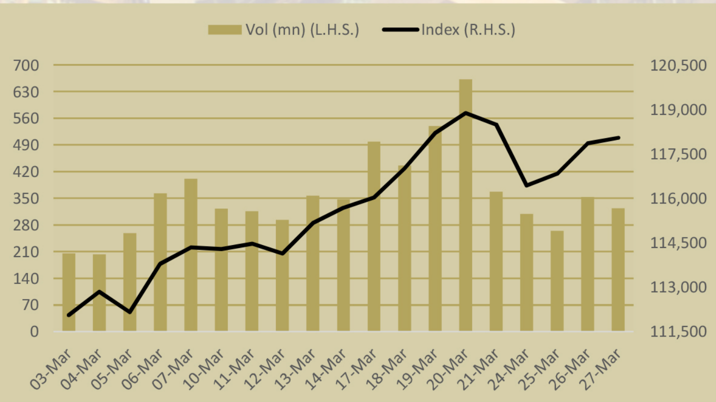
While near-term volatility cannot be ruled out, we maintain a long-term positive outlook on the equity market. We encourage investors to enhance their long-term exposures to equities at these levels.

Money Market Review

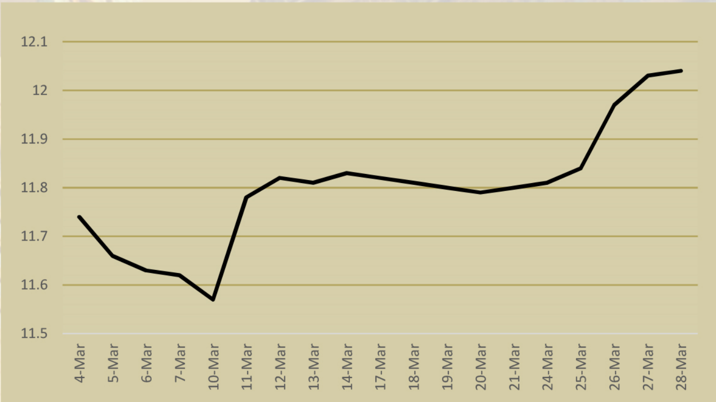
Inflation for the month of March 2025 clocked in at 0.7% on year-on-year basis as compared to 1.5% in the previous month and 20.7% in March 2024. With this, average inflation for FY25 clocked in at 5.37% compared to 28.82% in FY24. During the month of January, 3M, 6M and 12M KIBOR rates increased by 27 bps to 34 bps to close at 12.18%, 12.13% and 12.34% respectively. Similarly, secondary market T-Bill yields of 3M, 6M and 12M increased by 28 bps to 37 bps. At the end of the month, 3Ms, 6Ms, and 12Ms yields closed at 12.13%, 12.04% & 11.98% respectively. In longer tenor PIBs, 3 years, 5 years and 10 years yield was up by 5 bps to 22 bps. In the primary market, Two T-bill auctions were conducted during the month. In total, Rs 926.6 billion were accepted against a target of Rs. 1,450 billion with major acceptance in 3 months and 12 months T-bills. On the Islamic front, Government of Pakistan raised PKR 91.54 billion through auction of 1 year, 3 year, 5 years and 10 years floating rate and fixed rate Ijarah. SBP received bids worth PKR 408.15 billion against the target of PKR 90 billion.

On the for-ex front, the PKR depreciated against USD in the interbank by Rs. 0.50 and in the open market it depreciated by Rs. 0.55 to close at Rs. 280.16 and 281.85 respectively.

KSE - 100 Index Performance



6 Month Kibor



5th Pillar Family Takaful Limited - Conservative Fund
For the month of March- 2025

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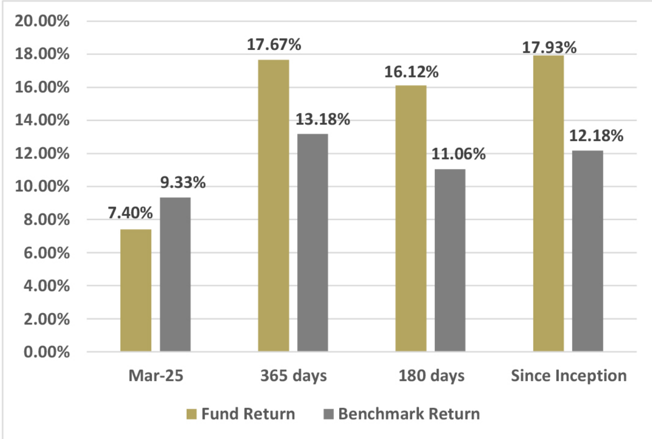
Investment Objective:

The main objective of fund is to provide the stability in returns by investing in low risk shariah compliant fixed income instruments with strong credit rating.

Fund Information

Fund Category	Money Market
Risk Profile	Low
Launch Date	18-Jul-23
Nav per unit at launch Date	100.0000
Nav per unit at month End (Mar-2025)	132.4502
Pricing Mechanism	Daily Forward pricing
Pricing Frequency	Monday to Friday
Total Net Assets (Rs.)	484.3 M
Weighted Avg.time to Maturity	0.5 Year
Expense Ratio	0.27%
Management Fee	1.75% p.a.
Benchmark	60% weightage of Meezan Cash Fund & 40% average of 6M deposit rate of 3 AA-rated of Islamic banks or Islamic windows of Conventional banks

Fund's Performance

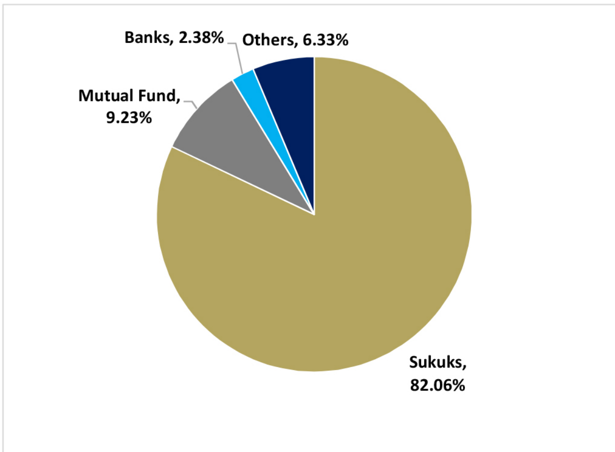


Asset Allocation	**Mar-25**	**Feb-25**
GOP Ijarah Sukuks	82.06%	82.47%
Mutual Funds	9.23%	9.22%
Bank	2.38%	1.00%
Others	6.33%	7.30%

Asset Quality	**Mar-25**	**Feb-25**
Government guaranteed	82.89%	83.58%
AAA	2.38%	1.00%
AA+	9.23%	9.22%
Unrated	5.50%	6.20%

Fund Returns	**Mar-25**	**Feb-25**
Return on (MoM) basis	7.40%	9.17%
180 days return	16.12%	19.46%
Last 365 days return	17.67%	19.25%
Return since inception (annualized)	17.93%	18.51%
Last 05 years (annualized)	N/A	N/A
Last 10 years (annualized)	N/A	N/A

Asset Allocation



Fund Manager's comments

KSE-100 posted monthly gain of 4% for the month of March, after seeing negative returns for the first two months of CY25. This was primarily led by the positive outcome of IMF's review. KSE-100 also hit all time high above the 118,000 level but could not manage to sustain due to weaker trading activity reflecting the Ramadan effect.

Average Daily Turnover (ADTO) was down 29% MoM in terms of shares traded, where mutual funds (Net Outflow: US$295mn) and foreigners (Net Outflow: US$12mn) were net sellers during the month while banks were net buyers.

There was significant interest in energy stocks throughout the month, driven by expectations of IMF approval for the government's proposal to tackle the outstanding circular debt. As a result, energy sector stocks, particularly PSO, SNGP, PPL, and OGDC, saw strong monthly gains.

Current Account balance for the month of February 2025 recorded a slight deficit of US$12 million, bringing the 8MFY25 surplus to US$691 million, while Consumer Price Index (CPI) for March 2025 came in at 0.7%, the lowest in three decades, due to a favorable base effect from last year's high inflation and a decrease in food inflation.

The beginning of April 2025 was overshadowed by Trump's protectionist policies, leading to significant import tariffs on countries globally, including Pakistan. At the same time, OPEC announced an increase in oil supply, causing a sharp decline in international oil prices. Domestically, Prime Minister Shehbaz revealed tariff relief for all consumers, which is expected to lower inflation and boost consumption in the future.

It is anticipated that the base effect will gradually fade from April 2025 onwards, and inflation may rise in the last two months of the fiscal year. However, the recent plunge in international oil prices and reduction in electricity tariff, is expected to keep inflation below previously estimated levels.

We believe the SBP still has room to reduce rates by 2-3% due to elevated positive real interest rates. Furthermore, with the equity market offering attractive valuations—its price-to-earnings (PE) ratio under 6.6x compared to the average of around 7.5x, and a market capitalization-to-GDP ratio of approximately 10%, well below the historical average of 20%—we anticipate the market will maintain its upward momentum in the coming year. This momentum is likely to be fueled by additional rate cuts and a continued shift of liquidity from income and money market assets into equities.